

LBO Case Comp Introduction Brief

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Overall Goal: Advance to the Final Presentation

-40 participants at around 4 participants per team leaves 10 teams

-4 teams advance out of 10 so around 40% true random odds

Goal for Call: Introductions, go over approach to competition and company picking

Explicit competition requirements

- Only **public companies**.
- Enterprise value must be **\$500 million to \$10 billion**.
- Exclude:
 - Utilities
 - Commodities companies
 - REITs
 - Healthcare
 - Telecommunications
 - Other highly regulated sectors
- Exclude the listed prior targets on **page 23**, including ITT, Schneider National, EnerSys, PowerSchool, National Fuel Gas, Academy Sports, Alamo Group, ICU Medical, Stag Industrial, Flowers Foods, Atkore, Vestis, Concentrix, JELD-WEN, CoreCivic, Box, Celsius Holdings, and 1-800-FLOWERS.COM.
- Use Capital IQ for company screening and financial data.

Game Mechanics:

We believe that the company selection is the most important part of the competition because it has so many variables and determines the way the rest of your presentation goes. As a result, we should decide which style we are going to present in first to narrow the scope of companies. Ideally the company and presentation type builds off the group's strengths. I believe that there are 4 possible presentation styles in which you can have success with.

The 4 possible presentation styles is really going to relate to the difficulty of pulling it off, the skills of the group and the reward for doing so.

The four possible presentation styles can be organized along two dimensions: **aggressiveness** and **margin for error**.

Aggressive vs. Conservative describes how much EBITDA growth we are assuming. An aggressive strategy relies on stronger EBITDA growth, while a conservative strategy assumes more modest growth.

Tight vs. Loose describes how much room we have to be wrong. A tight strategy has little margin for error and if our assumptions underperform, our target return may no longer be achievable. A loose strategy has more room for error meaning the investment can underperform our assumptions and still produce an acceptable return.

This creates four possible play styles:

Passive Aggressive

Tight TAP TAG

Loose LAP LAG

TAG — Tight and Aggressive: We assume strong EBITDA growth, and we need most of that growth to occur to achieve our target return. There is little margin for error.

LAG — Loose and Aggressive: We assume strong EBITDA growth, but the investment does not depend entirely on achieving it. Strong FCF generation and debt repayment provide downside protection if growth falls short.

TAP — Tight and Passive: We assume modest EBITDA growth, but we still need that growth and our expected debt repayment to occur to achieve our target return. The assumptions are conservative, but there is little room for underperformance.

LAP — Loose and Passive: We assume modest EBITDA growth, and even if growth underperforms, the company can still generate enough FCF to service and repay debt. This provides the greatest margin for error, although it may offer less upside than a successful aggressive strategy.

Basically, aggressive vs. passive measures how much improvement we expect, while tight vs. loose measures how wrong we can be and still make the investment work. As a result, each style comes with a different range of potential outcomes. Loose and passive strategies generally have lower upside but a greater margin for error, while tight and aggressive strategies have higher potential upside but require more assumptions to go right, increasing both complexity and risk.

Main Factors of company selection: Our presentation style will tell us which type of company to choose. The type of company is based upon a variation of the parameters listed below:

- **Demand:** How predictable are the company's sales, and what could cause customers to leave?
- **Competitive Position:** How well can the company sustain its pricing, margins, and overall profitability?
- **Cash Generation:** How much cash remains after the company funds the investments necessary to operate and grow?
- **Improvement Potential:** What could we realistically improve over the five-year holding period, and what would those improvements cost?
- **Purchase Price:** Does the entry price leave enough room to achieve our target return under reasonable assumptions?
- **Downside Resilience:** If the company underperforms, can it still meet its obligations, service its debt, and generate sufficient cash flow?

The importance of each factor will depend on our chosen style. For example, a passive strategy would place greater emphasis on existing cash generation and downside resilience, while an aggressive strategy would place greater emphasis on improvement potential. Similarly, a loose strategy requires enough strength across these factors to provide a margin for error, while a tight strategy allows less room for the company to underperform our assumptions.

Explicit Company Selection: Our style will determine the type of company we target and how heavily we weight each of the six selection factors. Below is my thought process for what each playstyle should prioritize when screening companies.

LAP — Loose and Passive

The goal of LAP is to find a company where we do not need significant EBITDA growth for the investment to work. Most of the return should come from the company's existing ability to generate FCF and use that cash to pay down debt. Because the strategy is loose, the company should also be able to underperform our base-case assumptions while still servicing its debt and producing an acceptable return.

Highest Priority: Cash Generation, Downside Resilience, Demand

Medium Priority: Purchase Price, Competitive Position

Lower Priority: Improvement Potential

The ideal LAP company would have predictable EBITDA, high FCF conversion, manageable CapEx requirements, limited downside risk, and a reasonable purchase price. EBITDA growth would provide additional upside rather than being necessary for the investment to work.

TAP — Tight and Passive

TAP also relies primarily on existing cash generation and debt repayment rather than significant EBITDA growth. However, unlike LAP, there is less room for the company to underperform. We may need the company to achieve most of our projected cash generation and modest EBITDA growth to reach our target return.

Highest Priority: Cash Generation, Purchase Price

Medium Priority: Demand, Competitive Position, Downside Resilience

Lower Priority: Improvement Potential

The ideal TAP company would generate strong and predictable FCF but may have a higher purchase price or other characteristics that reduce our margin for error. Because the strategy is tight, accurately forecasting cash generation becomes especially important.

LAG — Loose and Aggressive

The goal of LAG is to identify a company with meaningful EBITDA growth or improvement potential while still having enough existing business quality to protect us if our growth thesis underperforms. The upside comes from improving the business, while existing FCF generation and downside resilience provide protection.

Highest Priority: Improvement Potential, Cash Generation

Medium Priority: Demand, Competitive Position, Downside Resilience

Important Constraint: Purchase Price

The ideal LAG company would have identifiable opportunities to grow EBITDA through revenue growth, margin improvement, or other operational changes, while still generating enough cash in the existing business to service and repay debt if those improvements take longer than expected.

TAG — Tight and Aggressive

TAG relies heavily on successfully growing EBITDA or improving the business. Because the strategy is tight, failing to achieve those improvements could materially reduce the investment return. This creates the greatest execution risk but potentially allows for greater upside if the thesis is correct.

Highest Priority: Improvement Potential, Purchase Price

Medium Priority: Competitive Position, Demand

Supporting Priority: Cash Generation, Downside Resilience

The ideal TAG company would have significant and clearly identifiable EBITDA improvement opportunities that can be supported with evidence. The purchase price becomes especially important because we need enough upside between the entry valuation and the value of the improved business to justify the additional execution risk.

Overall Screening Approach

Rather than searching for the "best company" in isolation, we should first determine which playstyle best fits the team's strengths and desired level of risk. We can then weight the six LBO factors accordingly and use Capital IQ to identify companies whose financial and operating characteristics match that profile.

Growth Factors: Passive vs. Aggressive

Another way to separate passive and aggressive strategies is by understanding what drives growth in the underlying business. At a basic level, a company's growth can come from increasing the number of customers it serves, increasing the value it provides to each customer, or some combination of the two.

Passive Growth — Basic Needs

Companies providing basic necessities, such as food and basic apparel, generally provide a relatively consistent amount of value to each individual customer, but they serve an extremely large potential customer base. Almost everyone needs these products regardless of economic conditions or technological changes.

Because of this, a large portion of long-term growth comes from relatively predictable factors such as population growth, pricing, market-share gains, and modest increases in consumption.

The basic thesis is:

More customers × relatively stable demand per customer × pricing = growth

This makes these businesses potentially attractive for a passive strategy because we do not necessarily need a major change in how customers behave for the company to grow.

Middle Ground — Hardware and Manufacturing

Hardware and manufacturing businesses sit somewhere between passive necessities and aggressive technology businesses. Their products may not be required by every individual, but they can create significantly more economic value for the customers that use them.

Growth can therefore come from both expanding demand and improving the product. Population and economic growth can increase the number of potential customers, while

better products, greater productivity, new applications, or increased production can increase the value provided to each customer.

The thesis becomes:

More customers + more valuable/productive products = growth

This creates more potential for EBITDA growth than a purely passive strategy while still allowing us to rely on an established underlying business.

Aggressive Growth — Software and Technology

Software and technology represent the other end of the spectrum. A particular software product may serve a smaller portion of the population than something like food, but it can create substantially more economic value for each customer it serves.

For example, software that allows a company to accomplish the same amount of work with fewer hours or resources creates measurable economic value. If the software becomes more effective over time, customers may be willing to pay more for it because the value they receive from the product has increased.

The thesis is therefore less dependent on population growth and more dependent on improvements in productivity, efficiency, adoption, and willingness to pay.

Greater value per customer × greater adoption = growth

What We Are Betting On

Each strategy ultimately makes a different bet on the underlying driver of demand.

With a basic-needs business, we are making a relatively passive bet on factors such as population growth, stable consumption, pricing, and market share.

With manufacturing or hardware, we are betting on both demand growth and the ability of the product to create greater economic value.

With software and technology, we are making a more aggressive bet that the product will become more useful, more widely adopted, or more valuable to each customer.

In each case, EBITDA can ultimately grow because the company either serves more customers, earns more from each customer, improves its margins, or combines all three. The difference between passive and aggressive growth is primarily which underlying variable we are relying on to change and how uncertain that change is.